

26STLC03135 26STLC03135

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Case Number: 26STLC03135 Hearing Date: July 27, 2026 Dept: 26

TENTATIVE RULING:

Defendant Doddy Rafieha's Demurrer to the Complaint is overruled.

Defendants Abbyson Living

LLC and Doddy Rafieha are to file and serve an Answer to the Complaint within 20 days of this ruling.

Analysis:

On May 7, 2026, Plaintiff Captain Pallets, Inc. ("Plaintiff") filed the Complaint in this action against Defendants Abbyson Living LLC ("Defendant Abbyson") and Doddy Rafieha ("Defendant Rafieha"). Defendants Rafieha filed the instant Demurrer to the Complaint on June 25, 2026. Plaintiff filed an opposition on July 9, 2026 and Defendant Rafieha replied on July 20, 2026.

Discussion

Allegations
in the Complaint

The

Complaint alleges causes of action for breach of contract and common counts against both Defendants, and includes an attachment that alleges the existence of "a unity of interest and ownership between" Defendants such that their individuality and separateness have ceased to exist. (Compl., Attachment, p. 1:13-16.)

Defendant Abbyson is the alter ego of Defendant Rafieha because “there is and has been a commingling of Doddy Rafieha’s assets with that of Abbyson Living LLC, and Doddy Rafieha has used and continues to use corporate funds and assets as if they were his own.” (Id. at p. 1:16-19.) Defendant Abbyson has failed to follow the corporate formalities required to remain an entity distinct from Defendant Rafieha. (Id. at p. 1: 20-22.) Finally, “adherence to the fiction of the separate existence of Abbyson Living LLC as an entity distinct from Doddy Rafieha would permit abuse of the corporate privilege and would promote injustice.” (Id. at p. 1:22-24.)

Demurrer
to Complaint

Defendant Rafieha demurs to the Complaint for failure to allege facts sufficient to state either cause of action, on account of inadequate alter ego allegations. (Demurrer, p. 4:6-15.) The Demurrer is accompanied by a meet and confer declaration as required by Code of Civil Procedure section 430.41. (Demurrer, Bamford Decl., ¶2.)

“To recover on an alter ego theory, a plaintiff need not use the words “alter ego,” but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor.” (Leek v. Cooper (2011) 194 Cal.App.4th 399, 415.) These facts include commingling of funds, failure to maintain corporate formalities, inadequate capitalization, or use of corporate assets for personal purposes. (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.) The Complaint alleges the ultimate facts of commingling of funds, failure to maintain corporate formalities, and use of corporate assets for personal purposes by Defendant Rafieha.

As pointed out by Plaintiff’s opposition, these ultimate fact allegations are held to be sufficient to allege alter ego liability. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 236 [“Defendants argue that Rutherford failed to allege specific facts to support an alter ego theory, but Rutherford was required to allege only ‘ultimate rather than evidentiary facts.’”].) Defendant Rafieha’s reading of Rutherford Holdings, LLC incorrectly requires Plaintiff to allege particular alter ego factors, such as the individual defendant dominated and controlled the corporate entity, that the entity operated as a mere shell and conduit for the individual’s personal affairs, that the entity was

inadequately capitalized. That is not what the case requires, it simply points to those factors as the ones alleged to support the alter ego claim in that case. No particular set of alter ego factors is required; here, Plaintiff alleges commingling of funds, failure to maintain corporate formalities, and use of corporate assets for personal purposes to demonstrate unity of interest and ownership. This is sufficient.

Regarding the facts required to allege an unjust result, the Complaint alleges that adherence to the corporate fiction in this case would “permit abuse of the corporate privilege and promote injustice.” This is sufficient to allege facts showing an injustice or an inequitable result, as explained in *Rutherford Holdings*:

Rutherford alleged that ... recognizing the separate existence of PDR would promote injustice. These allegations mirror those held to pass muster in *First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915–916, 73 Cal.Rptr. 657. As in *First Western*, “[a]ssuming these facts can be proved, [Caswell] ... may be held liable ... under the alter ego principle.” (*Id.* at p. 916, 73 Cal.Rptr. 657.)

(*Rutherford Holdings*, 223 Cal.App.4th at 235–236, citing *First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915–916.) As the Demurrer points out, without alter ego liability, the Complaint does not support either cause of action against Defendant Doddy Rafieha. The invoices attached to the Complaint are billed only to Defendant Abbyson, with nothing to show personal liability on behalf of Defendant Rafieha. (Compl., Exh. A.) The alter ego allegations, however, are sufficient to support liability against Defendant Rafieha, as well.

Therefore, the Demurrer to the Complaint is overruled.

Conclusion

Defendant Doddy Rafieha's Demurrer to the Complaint is overruled.

Defendants Abbyson Living LLC and Doddy Rafieha are to file and serve an Answer to the Complaint within 20 days of this ruling.

Moving party to give notice.